

LexAI Risk Report

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Document Type	Rental Agreement
Overall Risk	HIGH
Total Clauses Found	11
High Risk Clauses	2
Medium Risk Clauses	3
Low Risk Clauses	6

Document Summary

This document is a standard rental agreement outlining the terms and conditions between an owner and a tenant for the rental of a residential property. It covers aspects like rent, maintenance, utilities, security deposit, duration, repairs, termination, and dispute resolution, specifying responsibilities of both parties.

HIGH RISK CLAUSES (2)

1. Penalty for Overstay

Original Text: 17. That in case, where the Premises are not vacated by the Tenant, at the termination of the Rent period, the Tenant will pay damages calculated at two times the rent for any period of occupation commencing from the expiry of the Rent period. The payment of damages as aforesaid will not preclude th...

Explanation: If you do not vacate the property by the end of the agreement, you will be charged double the normal rent for every day you overstay. This penalty does not stop the owner from taking legal action to evict you.

Recommendation: Vacate the property strictly on time to avoid severe financial penalties (twice the rent). Overstaying can lead to expensive legal battles and eviction proceedings under Indian law.

2. Agreement Registration & Costs

Original Text: 21. That the Rent Agreement will be registered in front of the Registrar and the charges towards stamp duty, court fee & lawyer/coordinator will be equally borne by the Owner and Tenant.

Explanation: This rental agreement must be officially registered with the government Registrar's office. The costs associated with this registration, including stamp duty, court fees, and any lawyer/coordinator charges, will be split equally between you and the owner.

Recommendation: Registration of rental agreements for more than 11 months is legally mandatory in most Indian states. Ensure the agreement is registered, as an unregistered agreement has limited legal standing in court. Confirm the estimated costs and how they will be shared before signing.

MEDIUM RISK CLAUSES (3)

1. Utility Bill Responsibility

Original Text: 5. That during the Rent period, in addition to the rental amount payable to the Owner, the Tenant shall pay for the use of electricity and water as per bills received from the authorities concerned directly. For all the dues of electricity bills and water bills till the date the possession of the pr...

Explanation: You are directly responsible for paying electricity and water bills for the period you occupy the property. The owner must clear all bills before you move in, and you must clear all bills up to the day you move out, based on meter readings.

Recommendation: Before moving in, take clear photos/videos of electricity and water meter readings, jointly verified with the owner. Do the same when moving out. Keep all utility payment receipts to prevent disputes over outstanding bills, a common issue in Indian rentals.

2. Security Deposit and Refund

Original Text: 6. The Tenant will pay to the Owner an interest-free refundable security deposit of Rs.(Amount in Numbers) vide cheque no (Cheque Number) dated (date of the cheque) at the time of signing the Rent Agreement. The said amount of the Security deposit shall be refunded by the Owner to the Tenant at the ...

Explanation: You must pay a security deposit, which will be refunded when you vacate the property. The owner can deduct money for unpaid dues or damages beyond normal wear and tear. Importantly, if the owner doesn't refund the deposit, you have the right to legally stay in the property without paying rent until the refund is made.

Recommendation: Take detailed photos/videos of the property's condition before moving in and when moving out to dispute unfair deductions. Be aware of your right to continue occupying the premises without rent if the deposit is withheld, though this might involve legal complexities under Indian tenancy laws.

3. Repair Responsibilities

Original Text: 9. That the day-to-day minor repairs will be the responsibility for the Tenant at his/her own expense. However, any structural or major repairs, if so required, shall be carried out by the Owner.

Explanation: You are responsible for small, routine repairs like fixing a leaky tap or replacing a lightbulb. The owner is responsible for larger issues or structural repairs to the property.

Recommendation: Clarify with the owner what exactly constitutes 'minor' vs. 'major' repairs to prevent future disagreements. For major repairs, notify the owner in writing and keep records of communication. For minor repairs you undertake, keep receipts if they are significant.

■ LOW RISK CLAUSES (6)

1. Agreement Duration

Original Text: 1. The rent in respect of the "Demised Premises" shall commence from (Starting Date of Agreement) and shall be valid till (Expiry Date of Agreement). Thereafter, the same may be extended further on mutual consent of both the parties.

Explanation: This clause specifies the exact start and end dates for your tenancy. After this initial period, the agreement can be extended if both you and the owner agree.

Recommendation: Ensure the start and end dates are accurately filled in. Mark your calendar for the expiry date to discuss renewal or vacating with the owner well in advance.

2. Monthly Rent Payment

Original Text: 2. That the Tenant shall pay to the Owner a monthly rent of Rs.(Amount of rent in Numbers), excluding electricity and water bill. The rent shall be paid on or before 7th day of each month without fail.

Explanation: You, as the tenant, must pay the specified monthly rent amount by the 7th day of every month. This amount does not include electricity and water bills.

Recommendation: Always pay your rent on time to avoid penalties or late fees. Keep a clear record of all rent payments, preferably with receipts, for your financial and legal protection.

3. Monthly Maintenance Charges

Original Text: 3. That the Tenant shall pay to the Owner a monthly maintenance charge of Rs.(Amount in Numbers) towards the maintenance of Generator & Elevator, Salaries towards guards, Charges for Electricity Maintenance for Common Areas, Charges towards cleaning of Common Areas and towards maintaining the lawn.

Explanation: In addition to rent, you are responsible for paying a monthly maintenance fee. This fee covers services like generator and elevator upkeep, security guard salaries, common area electricity, cleaning, and lawn maintenance.

Recommendation: Understand exactly what services are covered by the maintenance charge. Clarify if this amount is fixed or subject to change and how often. Ensure the amount is filled correctly.

4. No Subletting / Usage Restriction

Original Text: 8. That the Tenant shall not sublet, assign or part with the demised premises in whole or part thereof to any person in any circumstances whatsoever and the same shall be used for the bonafide residential purposes only.

Explanation: You are not allowed to rent out the property, or any part of it, to anyone else. The property must only be used by you and your family for living purposes.

Recommendation: Adhere strictly to this clause. Subletting without the owner's explicit written permission is a breach of contract and can lead to immediate eviction. Ensure no commercial activities are conducted from the premises.

5. Termination Notice

Original Text: 15. That this Rent Agreement can be terminated before the expiry of this tenancy period by serving One month prior notice in writing by either party.

Explanation: Either you or the owner can end the rental agreement early by giving a written notice of one month to the other party.

Recommendation: Always give or receive termination notices in writing. Send it via a traceable method (e.g., registered post, email with read receipt) to avoid disputes over notice periods.

6. Jurisdiction for Disputes

Original Text: 20. In case of any dispute to this agreement and the clauses herein, the same will be settled in the jurisdiction of the (city) civil courts.

Explanation: Any legal disagreements arising from this agreement will be handled by the civil courts located in the specific city mentioned in the clause.

Recommendation: Ensure the name of the city is clearly filled. This clause specifies which courts in India will have the authority to hear any legal case related to this agreement.